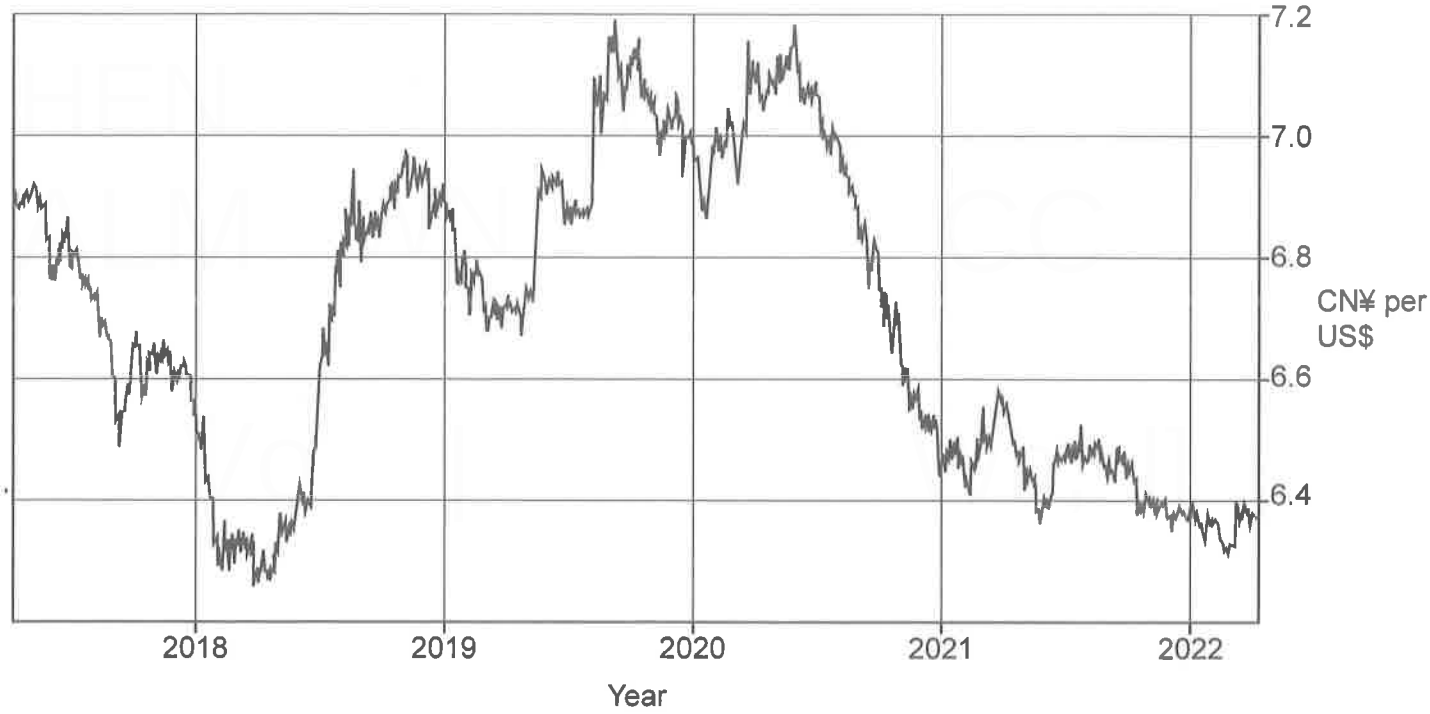
Question 2: Changing economic relationships in the Asia-Pacific Rim

Extract 5: China's currency is having an even better year than the US dollar

China is struggling with a slowing economy, yet its currency, the Chinese yuan (CN¥), has rarely been stronger. It is now outperforming the US dollar (US$) at a time when the Federal Reserve, the US central bank, prepares to increase interest rates. The Chinese currency has risen more than 8% in 2021 compared to 24 other currencies.

Figure 2: US dollar Chinese yuan exchange rate, April 2017 to March 2022



Source: tradingeconomics.com, 11 July 2023

The yuan began to strengthen from mid-2020 after a period of what many thought was deliberate depreciation by the People's Bank of China (PBOC). Interestingly, the appreciation rather than the depreciation against the US dollar came after the PBOC stopped directly controlling the exchange rate. Instead, free market forces were left to determine how the yuan performed in the foreign exchange market.

There are concerns about the speed of the increase in the value of the CN¥ against the US$ as Beijing has introduced tighter credit conditions that could slow down economic growth even further. These issues do not seem to concern the PBOC which described the rise as 'relatively modest'.

Despite weaker economic growth, booming exports and short-term capital flows buying Chinese government bonds are credited as the main causes of the yuan's strong performance since 2020. This strengthening is projected to continue until mid-2023.

The stronger the yuan, the greater the likelihood that the world's central banks will keep currency reserves to promote the yuan's use. After all, much international trade is in US dollars and China buys a lot of commodities that are priced in US dollars. There is a downside if the yuan continues to strengthen; a stronger currency could cause Chinese exports to be less competitive. This could well threaten China's already fragile economic recovery from the Covid-19 pandemic.

Source: Adapted from L He, CNN Business, *10 December 2021*

Extract 6: The real winners in the US-China trade dispute

The US and China have been locked in a trade dispute since 2018 when the US imposed tariffs of up to 25% on almost all imports from China. The tariffs have had a significant impact. Before the dispute began, around a quarter of all US imports came from China. At the end of 2019, this figure was down to 18%, a decrease in value of more than US$26 billion. In contrast, only around 7% of China's imports came from the US. This was only a modest fall before the Covid-19 pandemic hit global trade in early 2020.

According to one senior economist, the two biggest losers from the trade dispute 'have been the US and China themselves'. It was argued that GDP and employment in both countries have suffered. US consumers have had to pay higher prices for Chinese products and sales of mobile phones, computers, furniture and clothing have experienced large falls. For China, the main loss has been reduced export receipts.

The pandemic disrupted global trade and supply chains. China was the first major economy to recover in 2020 and has been able to provide countries like the US with desperately needed products such as health supplies and equipment. For example, imports of face masks from China to the US in 2020 increased by more than 10 times compared to 2019. There was also a substantial increase in imports of surgical gloves and Covid-19 testing kits. These imports were facilitated by a softening of the US's attitude to tariffs on goods from China. Exceptions were also granted for imported electrical items and car parts. The outcome has been a boost to trade between the US and China to almost pre-pandemic levels.

There are unintended consequences of the US-China trade dispute. The most significant one has been that of trade diversion; US consumers and manufacturers are shifting demand to other countries including emerging economies to get the products they need. The gain seems to be largest for countries that can produce similar products to those made in China. For example, Vietnam, Malaysia and Taiwan have benefitted through increased exports of electronic goods and components, machinery, textiles and footwear.

Vietnam in particular has become an attractive alternative to China for foreign manufacturers. Table 3 shows the substantial improvement in Vietnam's Balance of Trade with the US. The US-China trade dispute accelerated the decision of multinational corporations (MNCs) to relocate from China or set up their business elsewhere in the Asia-Pacific Rim. The dispute also prompted Chinese manufacturers to shift production from China to Vietnam. In 2020, Vietnam's manufacturers exported 30% more footwear to the US than in 2019, whilst exports of footwear from China to the US fell by 15%.

Table 3: US trade in goods with Vietnam, 2017–2021

Year	US exports to Vietnam (US$bn)	US imports from Vietnam (US$bn)	US Balance of Trade with Vietnam (US$bn)
2017	8134	46477	–38343
2018	9676	49140	–39464
2019	10821	66461	–55640
2020	9912	79619	–69707
2021	10947	101908	–90961

Source: US Census Bureau, 11 July 2023

Vietnam's economic growth, enhanced through the US-China trade dispute, is not without its problems. The Chief Executive of a leading Japanese electronics manufacturer has warned that 'the question is how fast the country can scale up its infrastructure to deal with its growth. There is congestion at airports and ports due to the sheer increase in volume of goods passing through'. Agricultural land has been lost to factories and there are environmental problems to resolve. Despite all this, the Vietnamese government is committed to making an improvement, but this will take time. It will also depend on the US's attitude to the increasing trade deficit with Vietnam.

Source: Adapted from DW Academie, 29 October 2020

Extract 7: Prospects for the UK's and China's accession to the Comprehensive and Progressive Agreement for the Trans-Pacific Partnership (CPTPP)

The CPTPP is a trade agreement between 11 countries in the Asia-Pacific Rim. They are Australia, Brunei, Canada, Chile, Japan, Malaysia, Mexico, New Zealand, Peru, Singapore and Vietnam. As a bloc, these economies are committed, in principle, to trade liberalisation through tariff-free access to each other's markets.

The UK formally applied to join the CPTPP in February 2021, just weeks after completing Brexit, a process of withdrawal of the UK from the European Union. Full CPTPP membership would put the UK at the heart of the Asia-Pacific Rim with full access to countries that are seen as the driving force for global economic growth. Membership would also transform the nature of the CPTPP and enhance its standing as a powerful supporter of globalisation at a time when anti-globalisation threats cannot be ignored. With the admission into the CPTPP, UK industries would be able to highlight their expertise in areas such as services and digital trade. They would have the capability to establish efficient supply chain networks and leverage the member countries' diverse economic characteristics, including their resource endowment, wage structures and stages of economic development.

The rationale behind the CPTPP lies with the principle of comparative advantage. Consumers gain through lower prices and more variety of goods and services. Producers gain through being able to reduce unit costs through a more competitive and larger scale market. Resources are being used more efficiently than if each member of the bloc sought individual trade deals.

In September 2021, China formally applied to become a member of the CPTPP. This was not a surprise given China's considerable interests in the Asia-Pacific Rim. Economists believe that China's membership would not only add billions of dollars to the GDP of the bloc but it would also provide a welcome boost for the Chinese economy at a time when its growth rate has been falling. China's entry into the CPTPP is beneficial as it could offset its prolonged economic slowdown by accessing a larger market in other member countries for the Chinese exports. China is also projected to increase foreign direct investment, thus strengthening its role in the global supply chain networks.

Sources: Breen J H, East Asia Forum, 1 February 2022
Chatham House – International Affairs Think Tank, 19 March 2021
Freeman C, US Institute of Peace, 7 October 2021
Chiang M-H, ThinkChina, 20 July 2023

(a) With reference to Figure 2:

(i) Explain how the appreciation of the Chinese yuan against the US dollar is represented in a particular time period. [2]

(ii) Using demand and supply analysis, explain **one** possible reason why the Chinese yuan has appreciated against the US dollar on the foreign exchange market. [2]

(b) Explain how the change in the exchange rate from March to September 2018 shown in Figure 2 might have affected China's balance of payments. [4]

(c) Explain how increased exports of health supplies and equipment from China might have affected national income and the general price level in China. [4]

(d) Discuss the extent to which countries such as Vietnam, Malaysia and Taiwan are 'the real winners in the US-China trade dispute'. [8]

(e) Discuss whether the UK or China will benefit more from joining the CPTPP. [10]

[Total: 30]